



SECTOR REPORT

Agri-Horticulture Cold-Chain Logistics Report

A sector brief on Kenya's perishable-produce logistics opportunity, from farm-gate cooling to export reliability and financing readiness.

DESK SUMMARY

Cold-chain investment is moving from nice-to-have infrastructure to a competitiveness requirement. The investable edge is utilization, energy reliability, route density, quality assurance, and buyer-linked offtake.

01

Evidence-led positioning

02

Risk-first execution

03

East Africa context

BRAND

Bengula Inc

PREPARED

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USE

Client education

STATUS

Public download

Sector Thesis

Kenya's horticulture, dairy, fish, and fresh-food systems lose value when cooling is too far from the farm, too expensive to run, or disconnected from buyers. The strongest projects in 2026 are modular, energy-aware, buyer-linked, and built around measurable utilization rather than cold-room capacity alone.

A cold room is not the business model. The business model is reliable throughput: producer aggregation, grading, temperature logs, route planning, buyer contracts, and payment discipline.

Market Drivers

Driver	Current signal	Investment implication
Post-harvest loss	Kenya-focused cold-chain programmes cite high fresh-produce losses where affordable cooling is unavailable close to production.	Farm-gate and aggregation-point cooling can unlock value before produce reaches urban or export nodes.
Export pressure	Flower exporters are seeking new markets while facing freight cost and logistics disruption pressure.	Exporters need quality assurance, temperature proof, and routing flexibility.
Agro-processing policy	Invest Kenya's 2026 sector pack positions agro-processing, fruit, vegetables, logistics, and value addition as investable themes.	Cold chain should be packaged with processing, packaging, and market access.
Energy transition	Solar and hybrid systems reduce diesel exposure and improve uptime in rural nodes.	Finance models must consider capex, maintenance, battery replacement, and utilization ramp-up.
Data visibility	Sensors and digital logs are becoming part of buyer assurance and insurance conversations.	Temperature records can improve claims, pricing, and buyer confidence.

Project Bankability Checklist

- Anchor demand: signed buyer, exporter, processor, cooperative, or distributor commitments.
- Utilization model: daily tonnage assumptions by crop, season, price, and route.
- Energy plan: solar, grid, generator, battery, maintenance, and uptime responsibilities.
- Quality system: grading, crates, pre-cooling standards, temperature logs, and rejection process.
- Working capital: farmer payment timing, buyer payment timing, spoilage reserve, and insurance.

Financing Structures

Asset Finance

Suitable for solar refrigeration units, reefer trucks, crates, and monitoring hardware when utilization is predictable and collateral can be identified.

Cooperative/SPV Pool

Works when farmers or investors share infrastructure, but requires strong governance, transparent pricing, and independent accounts.

Receivables Finance

Useful where exporters, processors, or institutional buyers create verifiable invoices and repeat payment flows.

Blended Capital

Appropriate for rural nodes where grant, guarantee, or concessional funds can absorb early utilization risk.

90-Day Pilot Plan

- 1 Select one crop corridor with recurring losses and a named buyer.
- 2 Measure baseline rejection, spoilage, price discounting, and transport delays for two harvest cycles.
- 3 Install or contract cooling capacity only after demand and operator accountability are clear.

- 4 Track temperature, volume, revenue, loss reduction, energy cost, and farmer payment timing weekly.
- 5 Convert pilot data into a lending memo: capex, utilization, margins, downside case, and expansion trigger.

Red flag: capacity-first projects with no buyer contract, no utilization floor, weak maintenance plan, or unclear farmer-payment process are vulnerable even when the technology is good.

Selected Sources

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